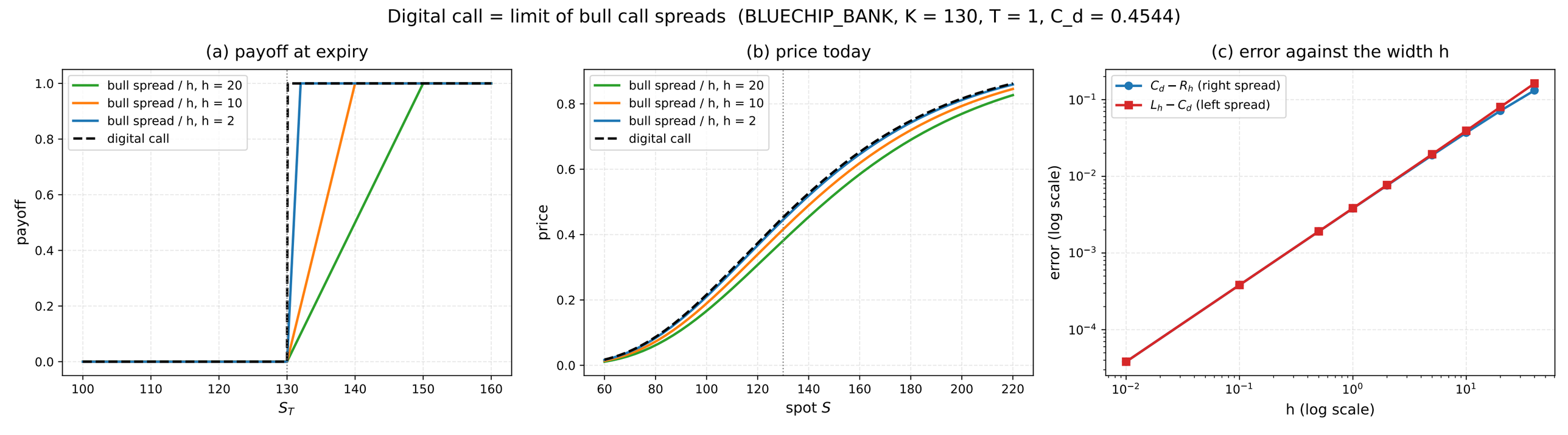
Digital call = limit of bull call spreads (BLUECHIP_BANK, K = 130, T = 1, C_d = 0.4544)
(a) payoff at expiry
payoff
S_T
bull spread / h, h = 20
bull spread / h, h = 10
bull spread / h, h = 2
digital call
(b) price today
price
spot S
(c) error against the width h
error (log scale)
h (log scale)
$C_d - R_h$ (right spread)
$L_h - C_d$ (left spread)